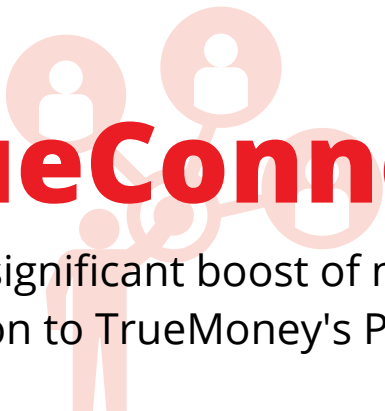
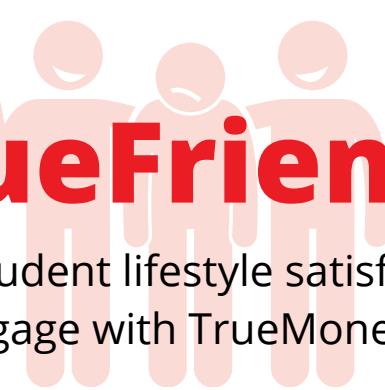




BY SUGAR SUGAR RUNE CONSULTING

Chulalongkorn Case Discovery 2023

Goal	 To become part of every Thai university student's lifestyle, acquiring users in the short run and maintaining users in the long run
Key Question	“ With the current number of 1.64M Thai university students active users, how can TrueMoney increase that number to 3M within 2024? ”
Recommendations	 TrueConnect Provide significant boost of new user acquisition to TrueMoney's Platform  TrueFriend Enhance student lifestyle satisfaction for them to engage with TrueMoney platform
Impacts	3.2M Increment monthly active uses 23.3% % Share of preferred payment method 130% CAGR 2024-2028

Our current situation and our aim to capture university students to become part of their lifestyle



TrueMoney

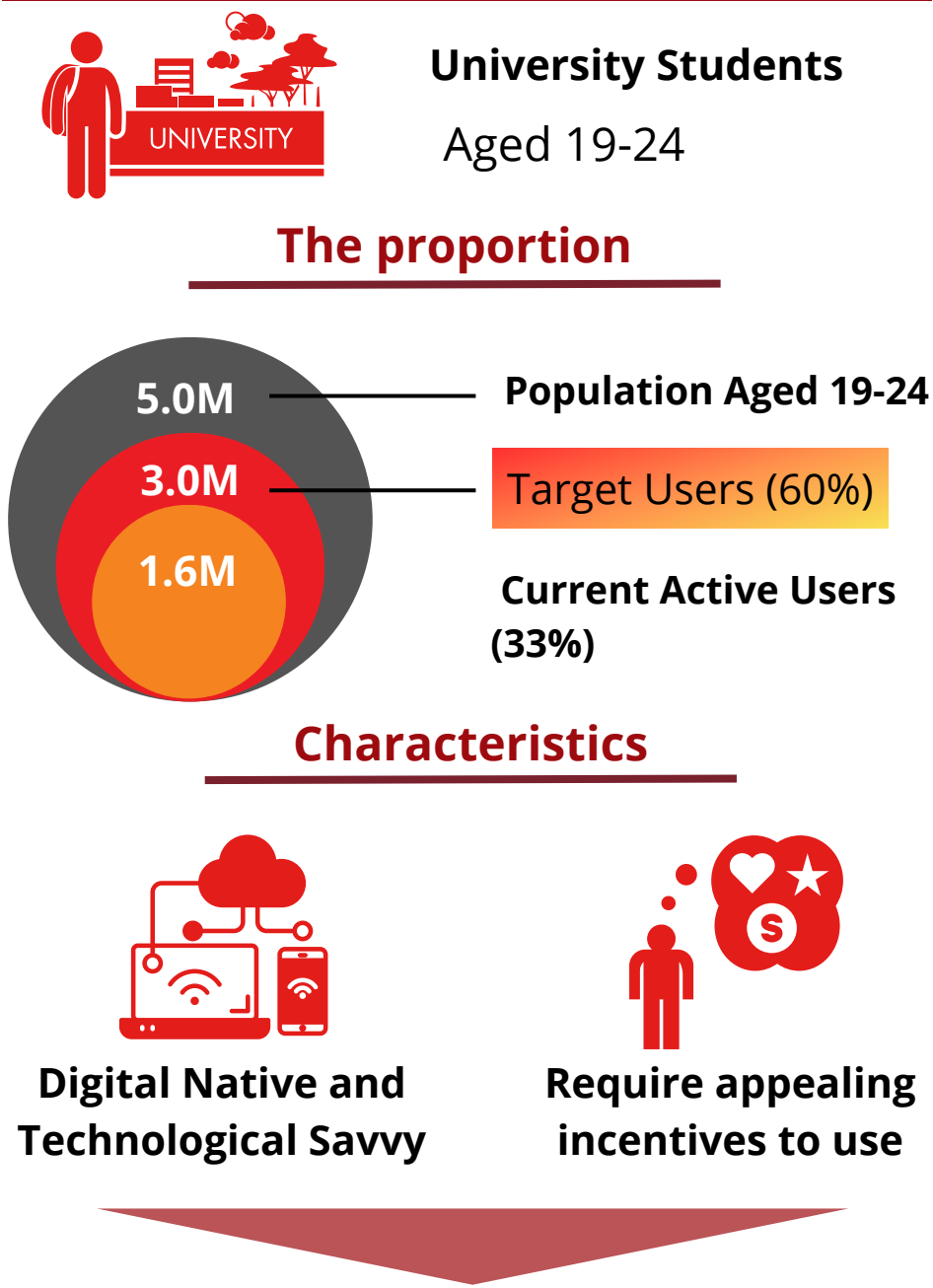
Vision”

To become **the leading financial service provider** in Southeast Asia, changing the way people transact in their daily lives

Mission”

Creating **life opportunities** for all with digital services and infrastructure

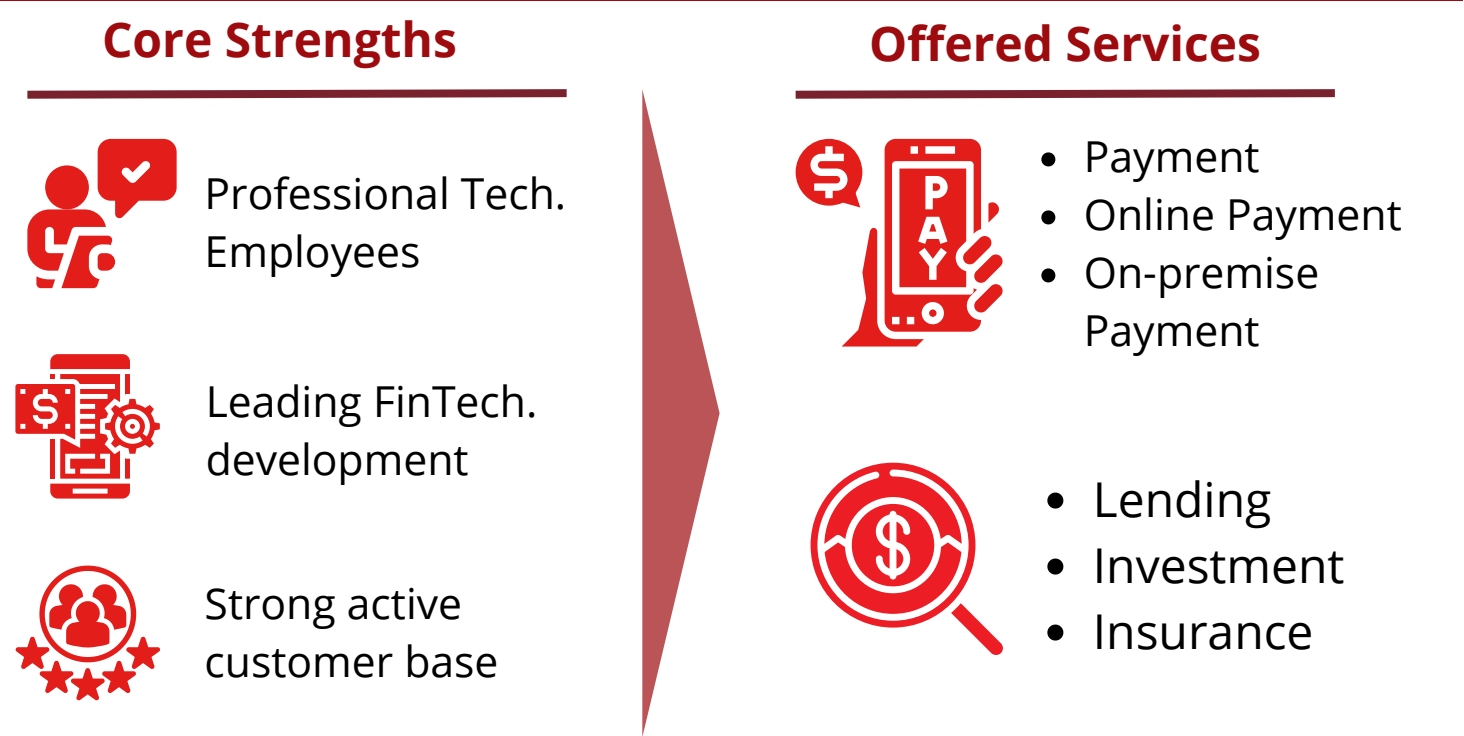
Target Customer Analysis



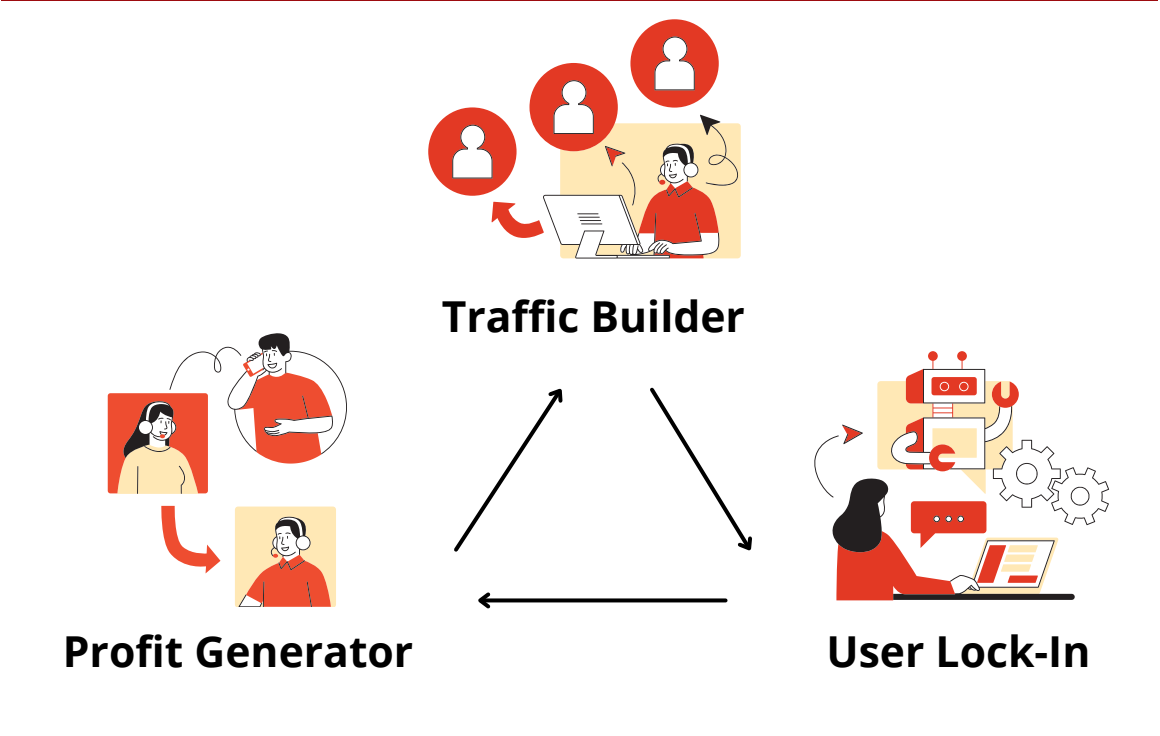
TrueMoney aiming for a more **'customer-centric'** approach

Source: Case Booklet

Value Proposition



TrueMoney's Growth Flywheel



TrueMoney already occupied **52.6% (highest)** market share of mobile wallet apps in Thailand, obtaining 3M target audience would be challenging based on characteristics of Gen-Z university students BUT not out of reach

TrueMoney's offering is not appealing enough to acquire target amount of university students users

truemoney aims to increase their university students users so they need to gain **in-depth understandings** of their target user's lifestyle in order to **promote advocacy and create community**

Who are University Students?

University Student's Demographic



Age
19-24 years
Female

Monthly Spending
33%
THB 10k - 25K

Traits
80%
Peers-Oriented

Main Expenditure
22%
Recreation

Need



Activities

Associations
& Society



Leisure&Trips

Eating
& Travelling

Treasurer

University Students Insights



90.6%

Interested in
wealth management
education



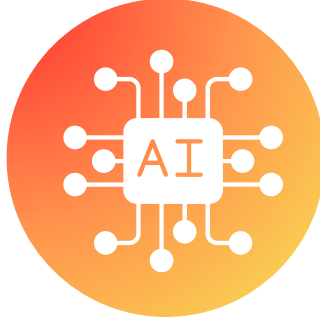
49%

Admitted they
spend more for
brands with
loyalty program



72.1%

Think the most
appealing
incentive is
discount offer



62%

Aware of the
rising AI trend

To **capture university students with these interests**, TrueMoney would have to consider the engaging in wealth management, loyalty programs, appealing incentives, and the rising trend of AI

AVERAGE 4 YEARS OF UNIVERSITY LIFECYCLE



Studying during the semesters

- Quizzes
- Midterm Exam
- Final Exam



Hanging out with peers

- Co-working space
- Restaurants
- Nights-out



Joining activities during the school year

- Student Committee
- Events

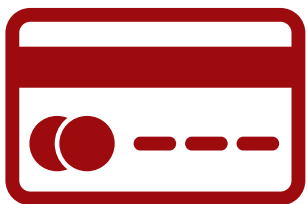
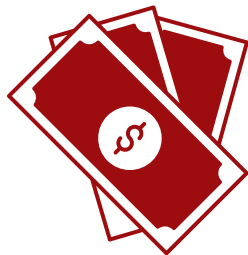


Traveling during the summer

- Trips
- Going Abroad

Source: Focus Group, 40 target group Survey Questionnaire

Competitor Analysis of Daily Digital Payment Method used in Thailand

	 TrueMoney	  PromptPay & E-Banking	 CreditCard	 Cash
Percentage Share of Preferred Payment Method (%)	16.8	44.8 [KBank 14.8]	13	18.8
Key Feature Offered	Various features provided	Convenient and Universal Services	Cashback and Rewards	Immediate exchange
Barriers of Entry	MODERATE Free to download, however, it requires internet access and modest level of financial literacy	LOW Bank of Thailand unite banks and promote the use of PromptPay, people starts to adopt the use of QR payment	HIGH Requires financial statement, good credit score, stable income, and bank account	VERY LOW It is the most widely accepted form of payment. Anyone can use cash without restrictions or requirements
Weaknesses	User experience (Needing to lean more towards 'customer centricity')	Technical Issues and Services Period : E-banking apps often need downtime (normally around 2 hours) each day and that can cause inconvenience	Difficult to target university students which doesn't have income yet. Some also can't afford the annual fees and interest rates	Risks associated with carrying cash , no protection against loss or theft

TrueMoney Focus on


Penetrating Barriers of Entry


Adopting key features of successful competitors


Eradicating weaknesses to generate higher percentage share

Source: Case Booklet

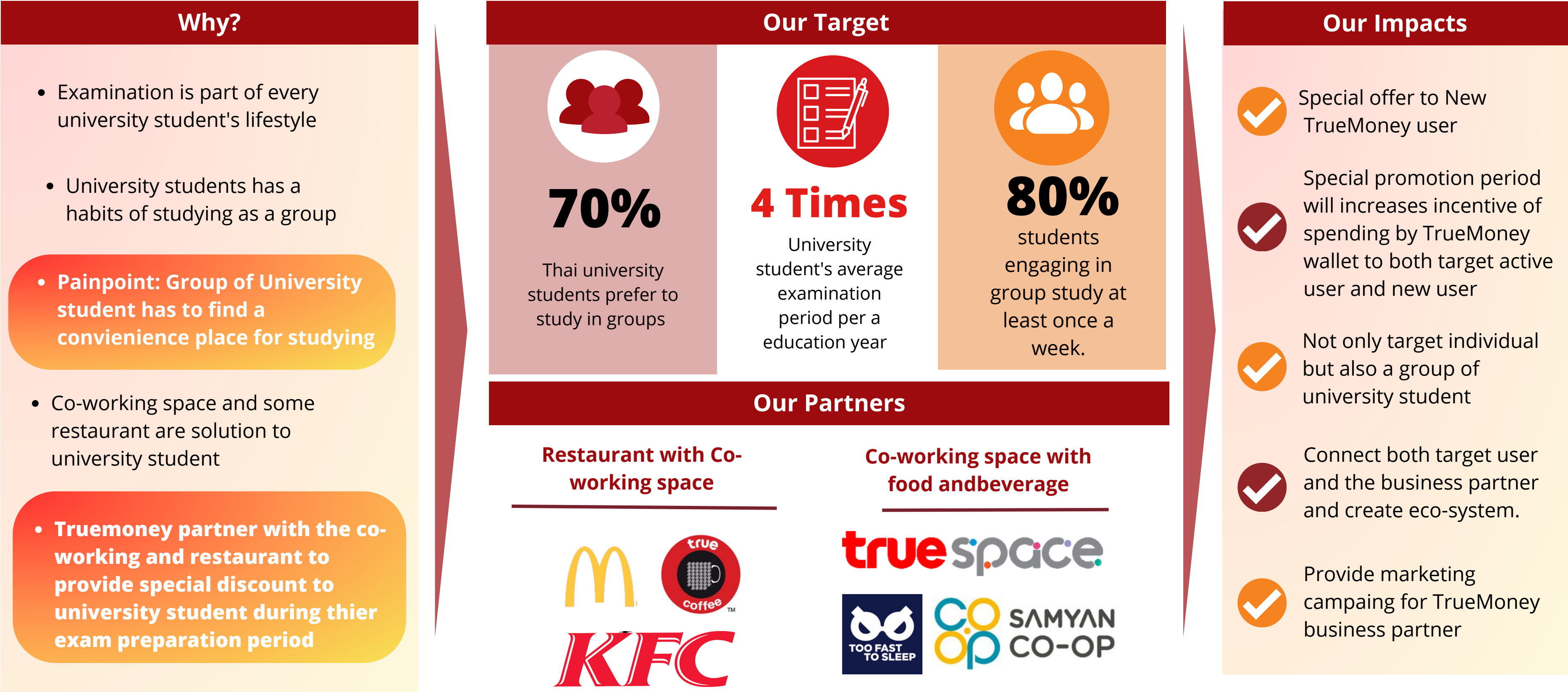
Synopsis of the present situation, customer's analysis, key issues, and our proposed solutions

What TrueMoney does ?	Our Analysis	Key Issue	How we fix ?
- Ascend Money is the Thailand's first FinTech unicon serving 50 milllion people across Southeast Asia - TrueMoney as a digital wallet platform that offer online payment, offline payment, lending, investment , and insurance services - Operate across 6 countries in Southeast Asia and 6 million daily average transactions 1.64 million are active users of TrueMoney who age between 19-24	- At the top of mind for the university student lifestyle are the key aspects of friends, activities, and community - A significant number of university students prefer to engage in group activities rather than pursuing individual activities. - Main group activities are eating, travelling, preparing examination	- University students often find it challenging to locate an appropriate group study space during exam periods. - This task can add to the already stressful demands of managing their daily meals and transportation needs.	TrueConnect TrueMoney offers university students guidance to their nearest co-working space location and provide a special discount offer to university student for special time
	- Many university student are interest in financial services - There are high interest in improving both individual and group spending behavior among university	Without guidance in managing finances and spending, individuals may struggle to make informed decisions and reach financial goals.	TrueFriend Utilizing AI assistance can provide valuable support to university students in managing their finances and budgeting their expenses effectively.



Customer Acquisition and Customer Retention
through "TrueConnect" and "TrueFriend"

TrueMoney's platform will help guide university students to the closest and most convenient co-working space during their exam period and provide special offers to universty students when they use TrueMoney wallet as payment channel



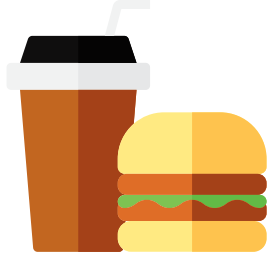
- ✓ Special offer to New TrueMoney user
- ✓ Special promotion period will increases incentive of spending by TrueMoney wallet to both target active user and new user
- ✓ Not only target individual but also a group of university student
- ✓ Connect both target user and the business partner and create eco-system.
- ✓ Provide marketing campaing for TrueMoney business partner

Business Strategy : TrueConnect

In additional to increasing in the number of TrueMoney's active user, this strategy also provide benefit to both university students and TrueMoney's business partner



4 Steps Journey

-  Group of university student visit co-working space that partner with TrueMoney Wallet to prepare for examination
-  University students buy food and beverage in sell in co-working
- 
 - New user download TrueMoney wallet.
 - Active user enter(back) TrueMoney wallet app.
-  Receive a discount offer by TrueMoney partners. Pay by Truemoney wallet

TrueConnect Special Offers

For New User

50% discount

For first time using TrueMoney wallet

Maximum discount up to 100 baht

Minimum spend 50 baht

For Active User

20% discount

For three times using TrueMoney wallet

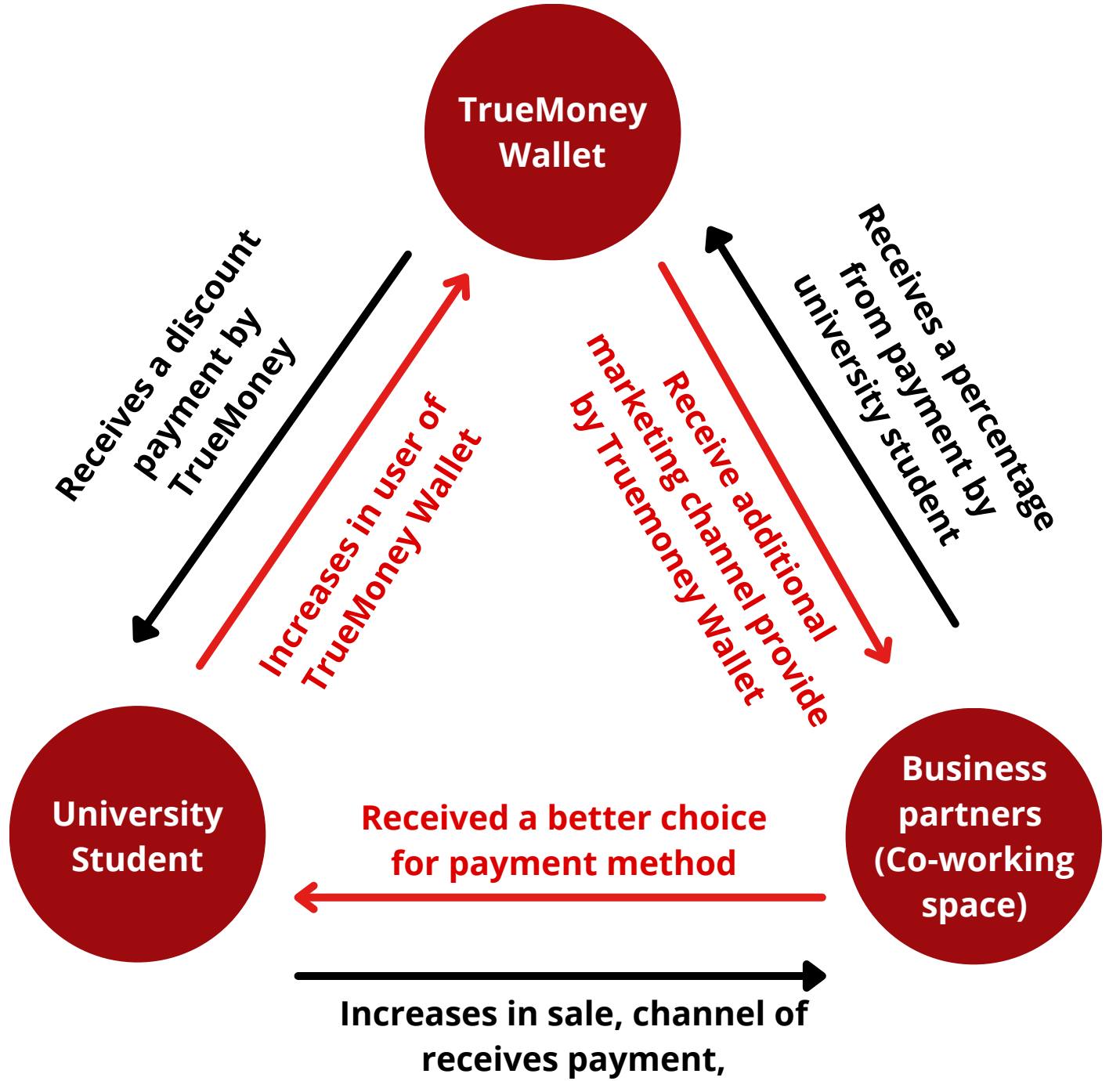
Maximum discount up to 20 baht

Minimum spend 50 baht



Increases in university student users

Benefits Chain



TrueFriend's concept derived from the analysis of university student's financial behavior

truemoney aims to **penetrate into University student's lifestyle**, therefore, they need to understand spending behavior of these users and come up with solutions that truly helps in terms of their **spending behavior and making their life easier**

How?



Peers-Oriented Activities with friends



Extracurricular: clubs, organization



Special occasion: Planned trips during the summer, concerts



Daily Relax: Leisure, Hangouts, Nightlife

Financial Behavior



Group

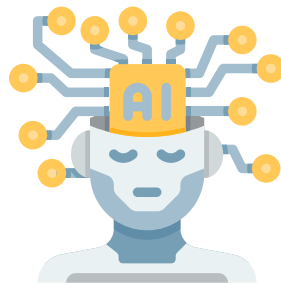
- The need to manage central budget as a Goal
- One person needs to pay in advance, then after that clear the bill



Personal (Individual)

- Desire to have a spending habit that match their lifestyle
- Want to maintain more money, but no idea how?

New feature that serve University student's Lifestyle



AI & Machine learning are used to keep track of spending behavior and suggest best solutions

- Budgeting
- Expense Tracking
- Personalize financial management



Central Fund Management for groups of users

- Eliminate bill
- Saving Goal



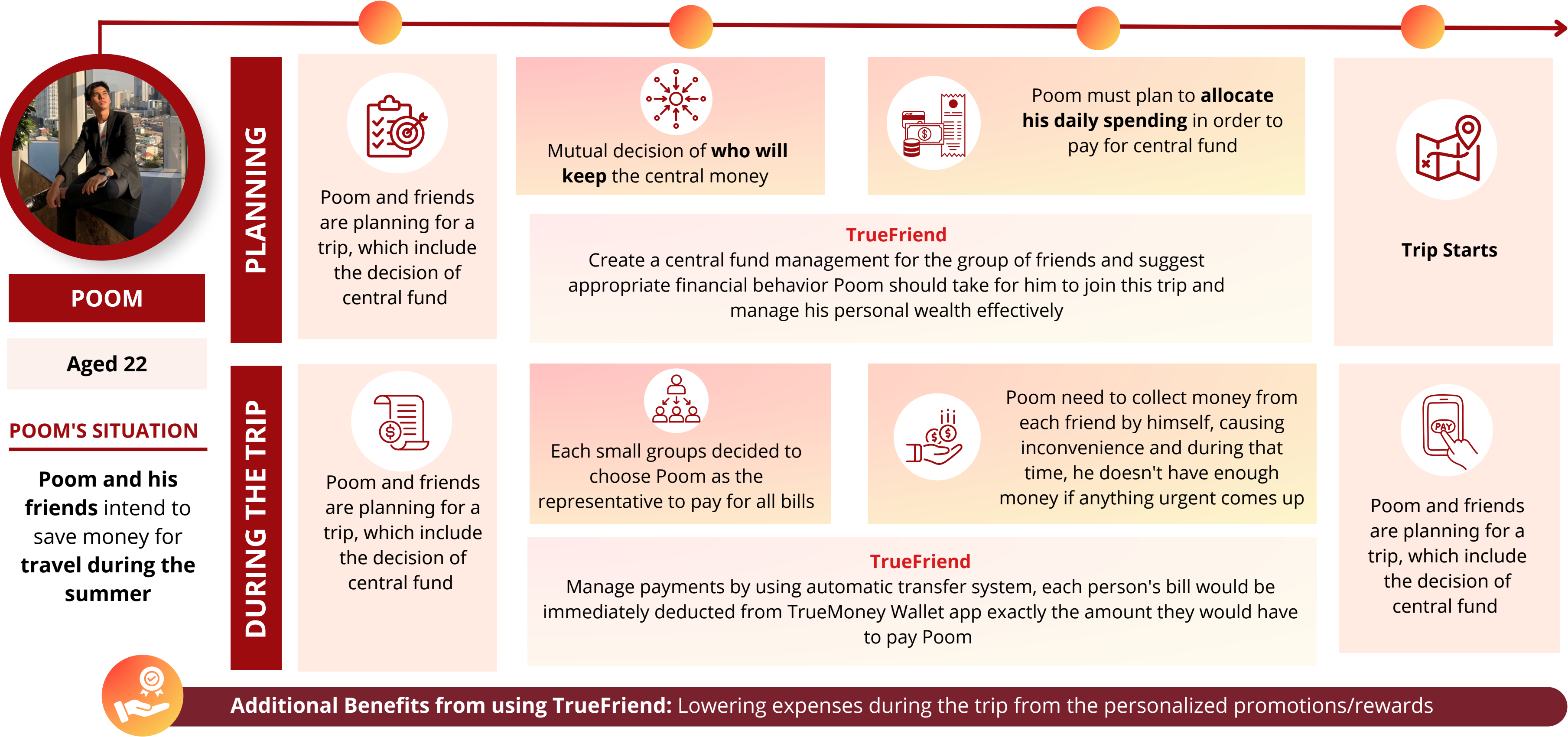
AI suggest ways to **manage wealth** using TrueMoney additional service/promotions

- Investment
- Insurance
- TrueReward



With **TrueFriend**, University students have their **personal professional treasurer** that helps manage all financial hurdles

TrueFriend will be developed into a shortcut to solve university student's burdensome journey



TrueMoney should incentivize users to escalate buildup around the revitalized platform

Customer Journey

Attraction

Consideration

Loyalty

Advocacy

Integrate into University Student's Lifestyle

With **TrueConnect** and **TrueFriend**, our strategies will be assimilated into university student's lifestyle which would provide benefits and convenience that will **create attentiveness to TrueMoney**

TrueConnect

Promotions and rewards for new users are **tempting for users** that is entering during their examination period which is when students spend most of their money with co-working spaces

81%

consumers say they're **more likely to engage** with a brand if it offers **appealing incentives**

TrueFriend

A feature that **fulfill lifestyle needs and meet wealth management demands** of University students from their initial attention



Influencers Campaign

"TrueFriend in UNI-Lifestyle"

Use **micro-influencers** as a university student representing each university student's interested topics and let them share their own lifestyle and how they **use TrueFriend in daily life**. Short reels on Instagram and TikTok videos will be the main **pathway to display these values**

67%

Gen Z prefer watching videos that are **less than 15 minutes long**

Instagram & Tiktok

are amongst the highest hour per month where people spend the time with



11.2

hours/month

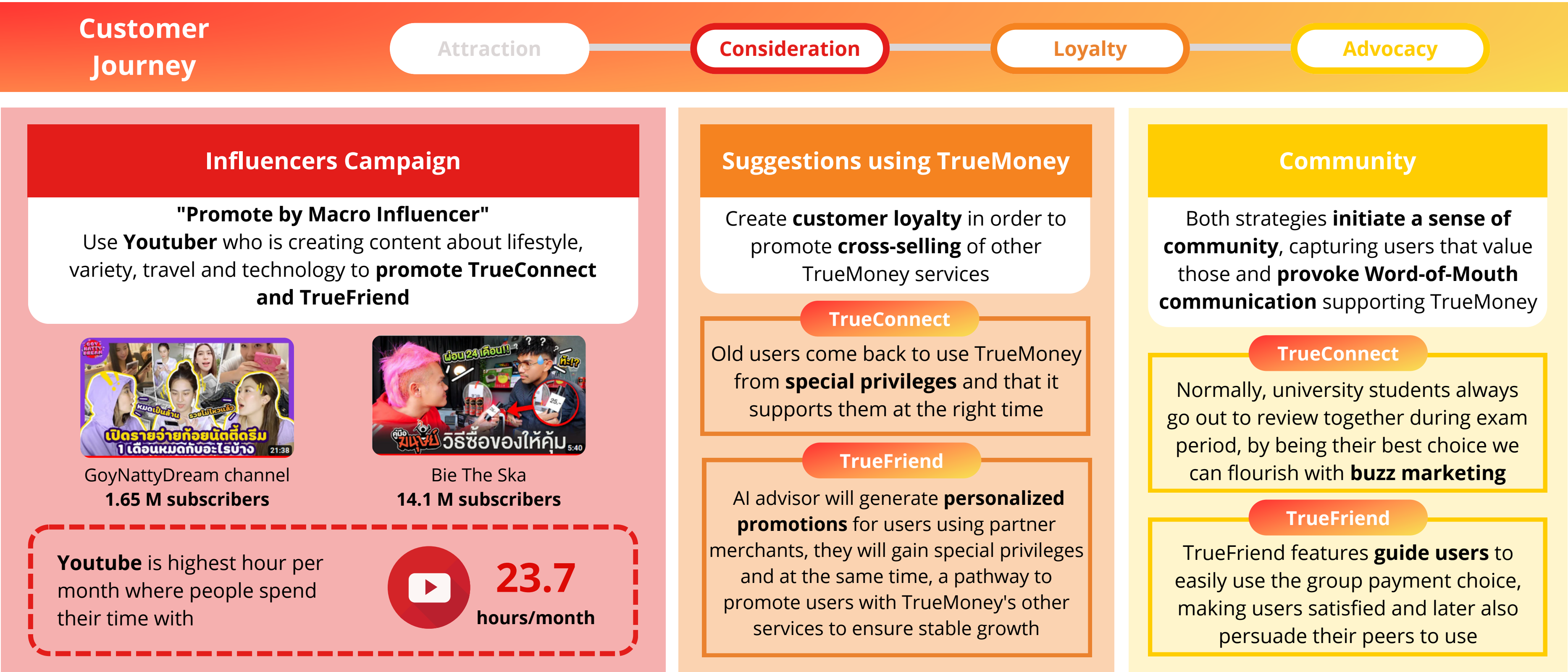


19.6

hours/month

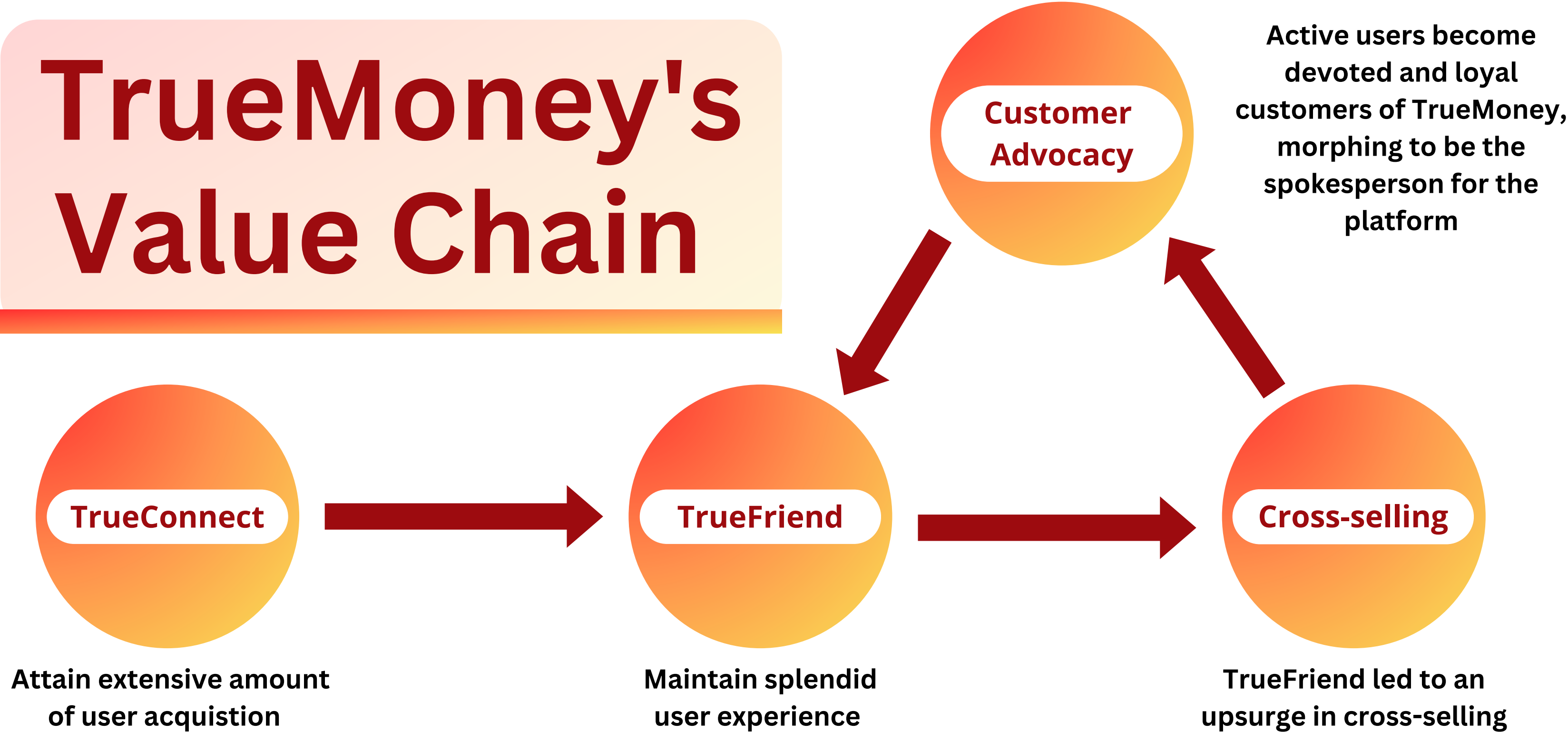
Source: wibbitz, ebbo, everydaymarketing

TrueMoney should incentivize users to escalate buildup around the revitalized platform



Source: everydaymarketing

How can TrueMoney acquire and retain users both in the short-term and long-term

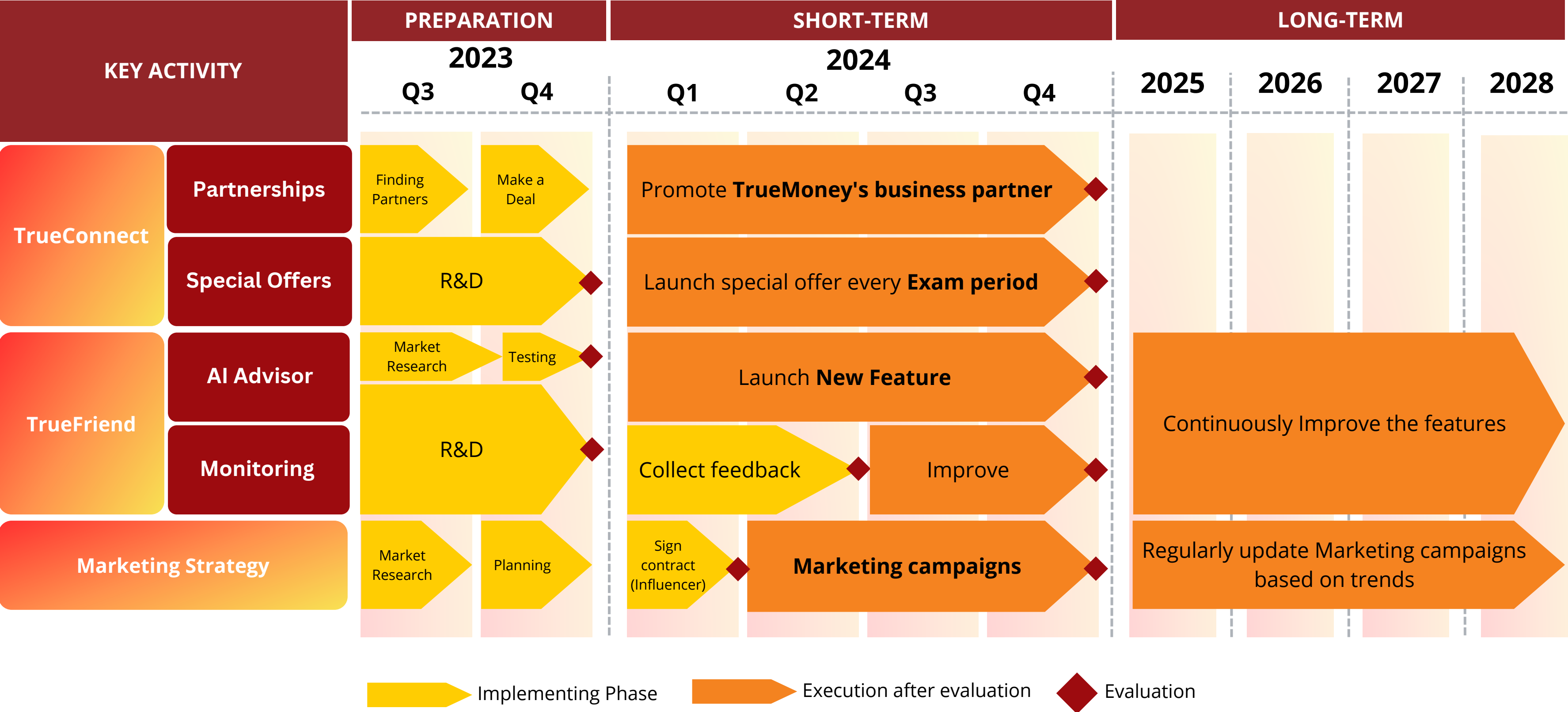




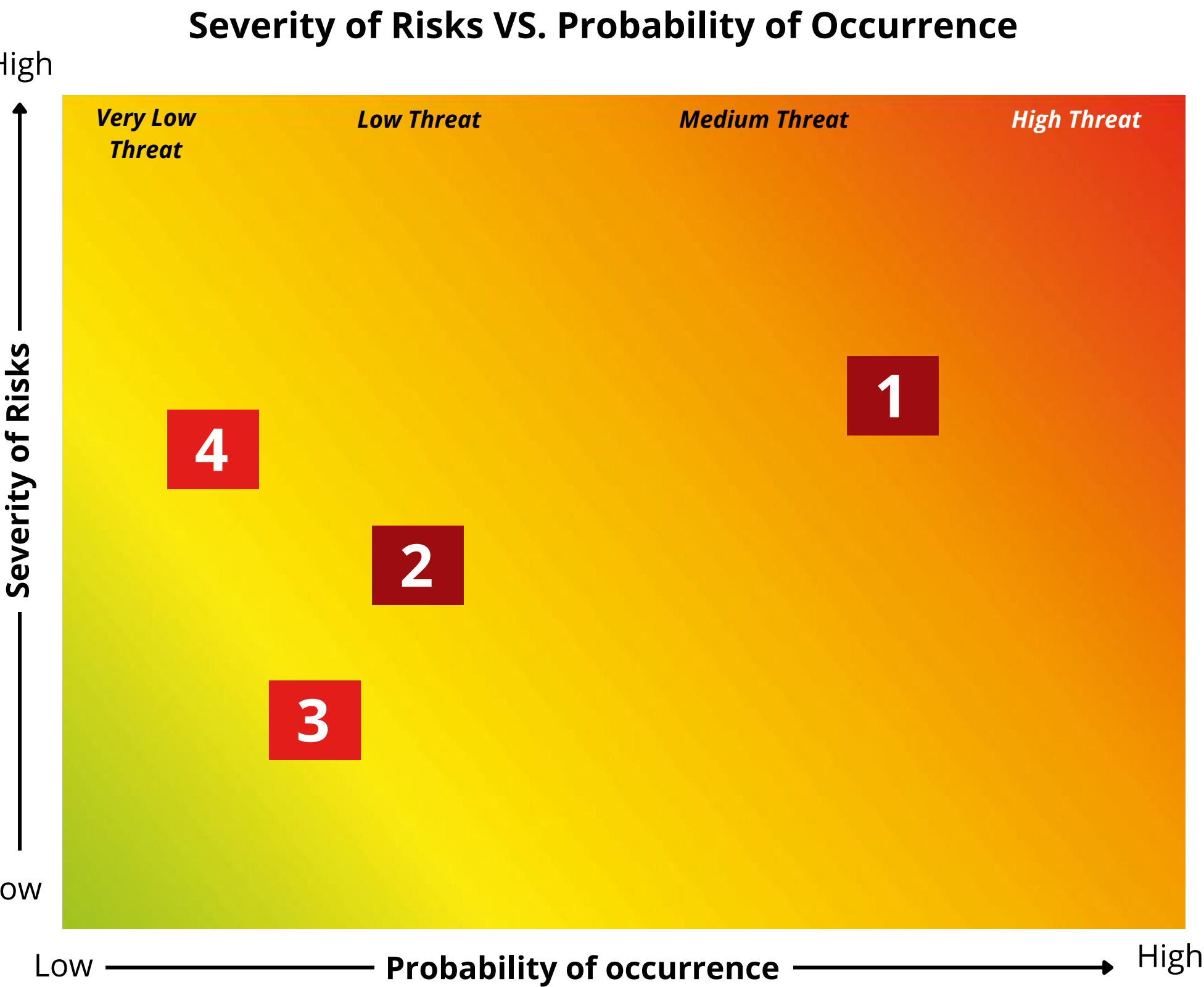
IMPACTS JUSTIFICATION

Implementation Timeline

TrueMoney will reach their short term goal within 1 year and will continue to develop sustainably with solid foundation



Identified risks are prioritized based on severity and probability of occurrence



RISK		MITIGATION	
TrueConnect			
1	Reduced profit margins	1	Ensure that promotional discounts are limited to specific payment conditions
2	Cash flow problems	2	Monitor cash flow carefully and adjust our promotional base on user's response
TrueConnect			
3	Privacy risks	3	Collect only necessary data and limit the data collection to what is essential
4	Security risks	4	Implement robust security measures

3.2M

Increment monthly
active users (MAU)
within 2024

23.3%

Increase % Share of
preferred payment
method in 2024

130%

Compound annual
growth rate (CAGR)
during 2024-2028

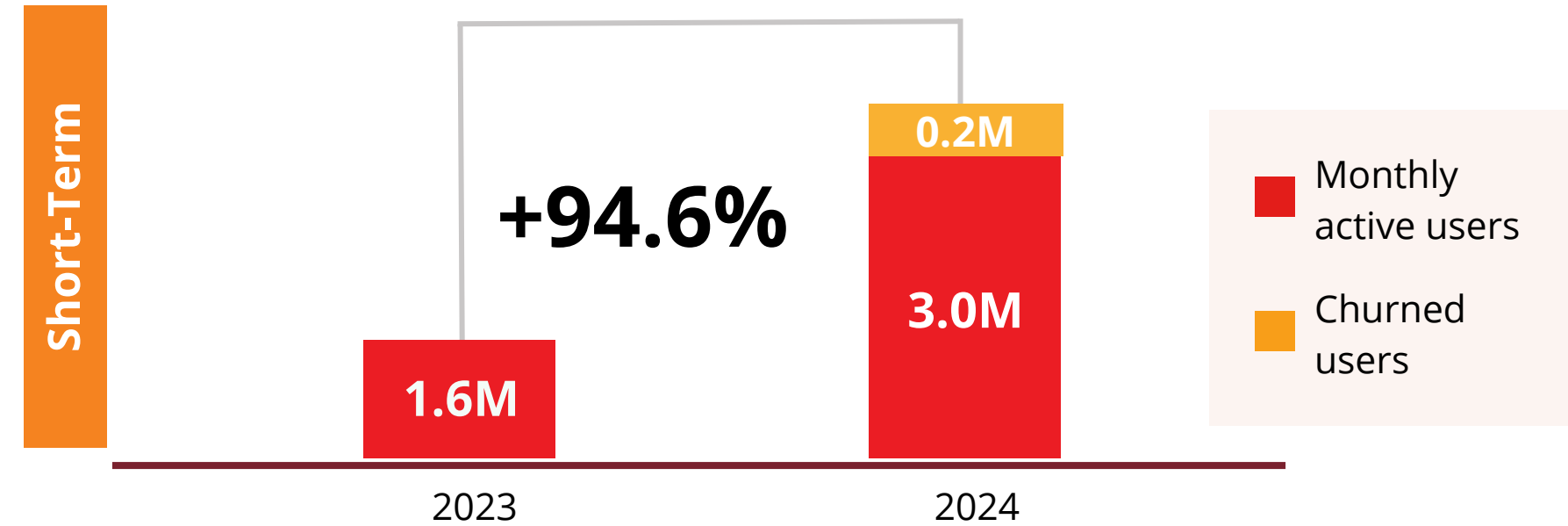
Financial Projection

Within 1 year, TrueMoney's short term goal of gaining 3M university students users will be achieved from implementing our strategies

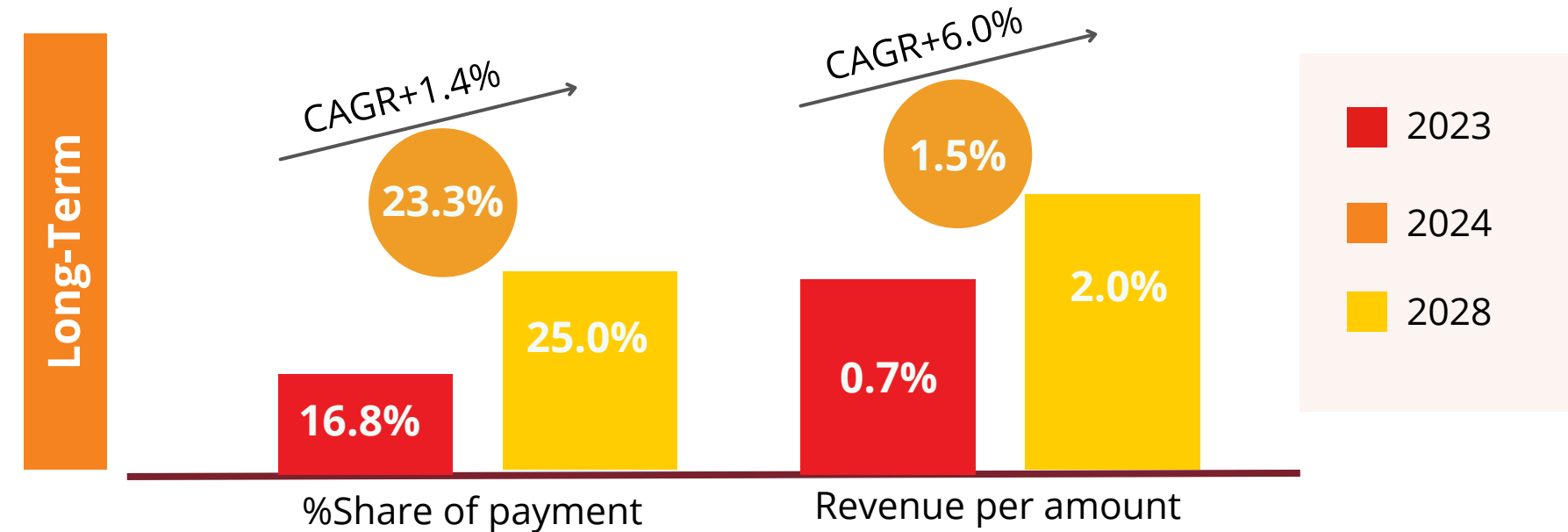


Within one year, these numbers are expected ...

Increased from 1.6 M to 3.2 M monthly active users (Churned rate of 14% included)



By 2028, due to an increment of the amount per user by 94.5%, it leads to a rise in %share of payment and cross-sale in digital financial services



CAGR* Compound annual growth rate

Key Profitability Assumption

Key Drivers

$$\text{Increase in Revenue} = \text{Monthly Active users} \times \text{Amount per users} \times \text{Revenue per Amount}$$

Key Assumption

TrueConnect

Level of Effects	High	Medium	High
Assumption	97.7% satisfied with discount	Probability of cross-sale in payment	100 places Co-working space (Merchant Services)

TrueFriend

Level of Effects	High	High	Med-High
Assumption	90.7% Interest in wealth management	95.35% satisfied with share in bills payment	Probability of Cross-sale (digital finance)

TrueMoney will generate revenue of THB128M in 2024 (within 1 year)

Source: 40 survey and focus group

Financial Projection

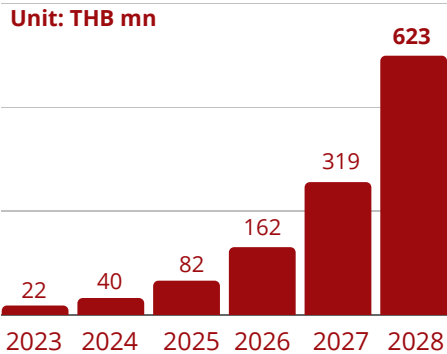
With an investment of THB693M, TrueMoney will pay back within 2.8 years and archive a return on investment by 35% in the next 5 years



Estimated Cost

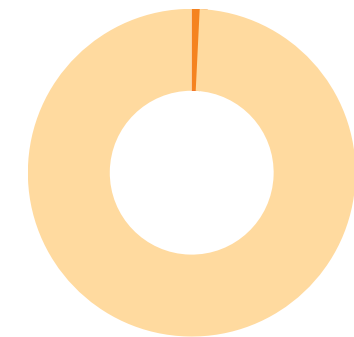
Cost allocation of THB 693 million

TrueMoney's cost



Variable cost
Total cost is **THB22.4M**
According to cost per users = THB 13.7

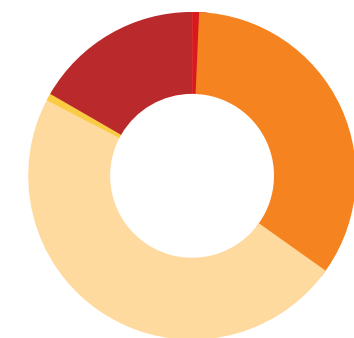
TrueConnect



Total cost is **THB657M** that allocate to

- 0.02%** R&D expense
- 0.76%** SG&A expense
- 99.2%** Marketing expense for cash discount

TrueFriend

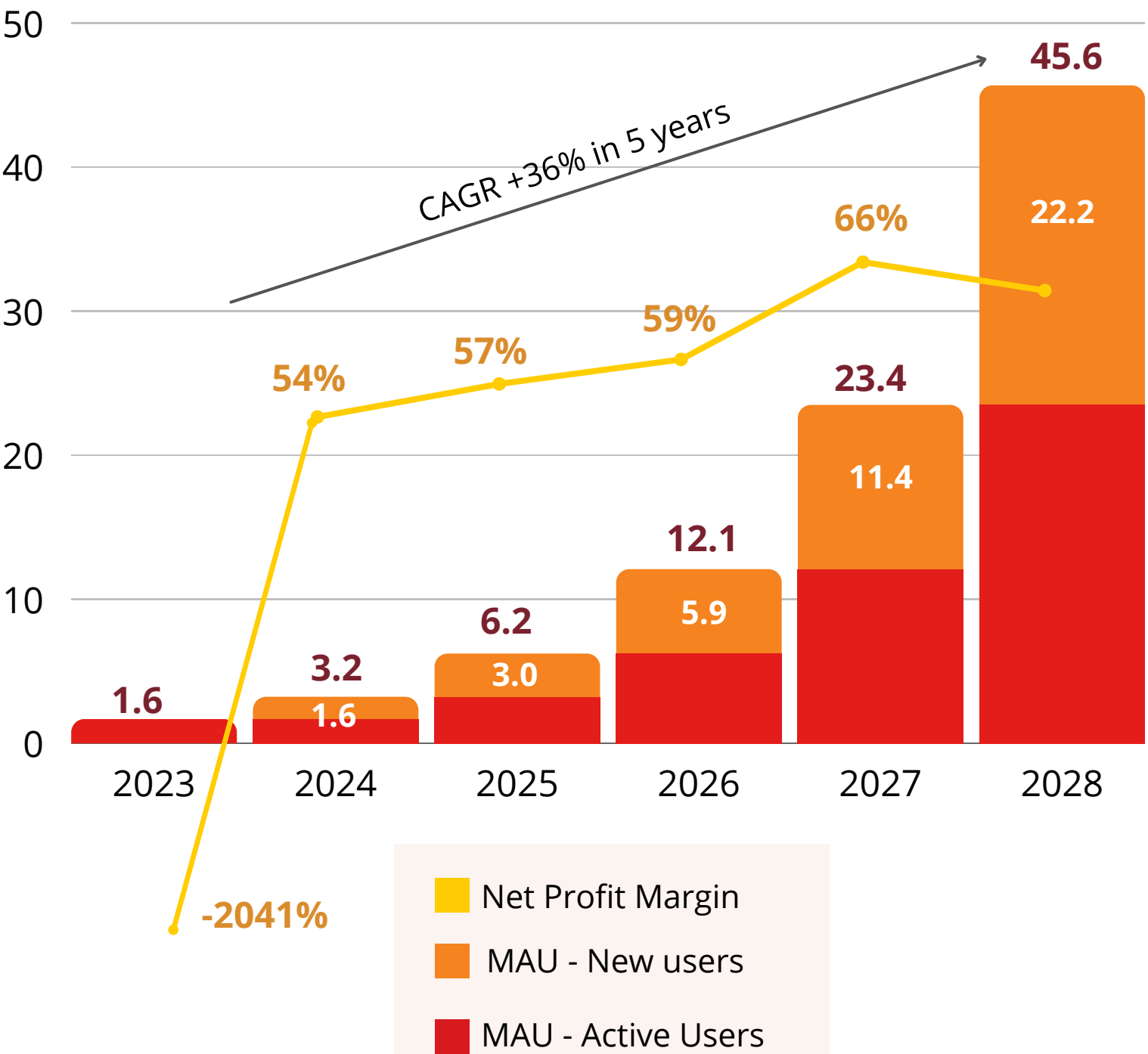


Total cost is **THB12.9M** that allocate to

- 54.26%** Software development
- 38.75%** Marketing expense
- 5.43%** Maintenance expense
- 0.79%** UXUI design
- 0.78%** R&D expense

Comparing Benefits and Costs

Million person



Impact

7.78%
Growth of Customer Retention rate

2.8 years
Pay back period

36%
ROI in the next 5 year

130%
CAGR in the next 5 year



"ENRICHING LIVES EVERYDAY"

Appendix

Monthly active user projection			Present		Forecast			
	unit		2023	2024	2025	2026	2027	2028
Assumption growth rate								
Average number of University student	person		5,000,000					
Satisfied with discount	%		97.67%					
Satisfied with bill	%		95.35%					
Interest in wealth management	%		90.70%					
Average interest in strategy	%		94.57%					
Inflation rate	%		2.00%					
The active users for university student								
Monthly TrueMoney active user	person		1,636,294.00	3,183,796.85	6,194,829.54	12,053,505.53	23,452,944.87	45,633,249.32
growth new users	%	94.57%		1,547,502.85	3,011,032.68	5,858,675.99	11,399,439.34	22,180,304.45
Goal of Monthly active usersI for TrueMoney	person		3,000,000					
gap between Monthly active users	person		1,363,706					
The consumer Retention Rate								
Beginning Monthly TrueMoney active user	person		1,636,294.00	1,636,294.00	3,183,796.85	6,194,829.54	12,053,505.53	23,452,944.87
(+)New True Money active user	person			1,547,502.85	3,011,032.68	5,858,675.99	11,399,439.34	22,180,304.45
(-)Churned users	Person			(228,320.09)	(196,461.48)	(169,048.25)	(145,460.12)	(125,163.36)
Ending Monthly TrueMoney active user			1,636,294.00	2,955,476.76	5,998,368.06	11,884,457.28	23,307,484.75	45,508,085.96
Goal of Monthly active usersI for TrueMoney	person		3,000,000					
The goal need to reach gap between Monthly active users			1,363,706	44,523.24	(2,770,047.97)			
The year to reach the goal of 3Mn active users	year	1.02						
	month	12.19						
Customer Retenion Rate	%			86.05%	93.83%	97.27%	98.79%	99.47%
Growth rate					7.78%	3.44%	1.52%	0.67%
Churned rate				13.95%	6.17%	2.73%	1.21%	0.53%
Forecast revenue								
Monthly active Users	person		1,636,294.00	2,955,476.76	5,998,368.06	11,884,457.28	23,307,484.75	45,508,085.96
Amount per users			2,045.00	2,894.71	2,994.12	3,054.00	4,322.96	3,359.89
Monthy student yearly spending	THB		12,172.62	12,416.07	12,664.39	12,917.68	13,176.03	13,439.56
Yearly student yearly spending	THB		146,071.43	148,992.86	151,972.71	155,012.17	158,112.41	161,274.66
Proportion payment method amount of TrueMoney	%	16.80%	23.31%	23.64%	23.64%	32.81%	25.00%	
growth rate	%	1.41%		38.78%				
Amount per year	THB		3,346,221,230.00	8,555,253,354.68	17,959,836,793.86	36,295,167,166.77	100,757,380,926.18	152,902,106,216.58
Revenue per user			15.80	43.52	47.66	51.46	77.13	67.20
Revenue per amount	%	0.77%	1.50%	1.59%	1.69%	1.78%	2.00%	
growth rate	%	5.88%		0.95				
Revenue per year	THB		25,853,445.20	128,611,753.96	285,855,540.08	611,630,974.08	1,797,686,602.08	3,058,042,124.33

Cost allocation			Present	Forecast					
	unit		2023	2024	2025	2026	2027	2028	
Assumption									
Exchange rate (\$ to THB)	THB		34						
Cost per users	THB		13.7						
Probability Co-working space for studying during an exam	%		41%						
TrueMoney's Cost									
Monthly TrueMoney active user			1,636,294.00						
The total cost	THB		22,417,227.80	40,490,031.61	82,177,642.42	162,817,064.78	319,312,541.06	623,460,777.62	
% to sale	%								
TrueConnect									
Operting Expense									
R&D expense	THB	0.02%	100,000.00						
SG&A expense	THB	0.76%	5,000,000.00						
Marketing expense - discount	THB	99.22%	652,047,112.88						
Total cost of TrueConnect strategy	THB		657,147,112.88	-	-	-	-	-	
TrueFriend									
CapEx									
Software development	THB	54.26%	7,000,000.00						
UXUI design	THB	0.79%	102,000.00						
Total CapEx	THB		7,102,000.00	-	-	-	-	-	
Operting Expense									
Marketing expense	THB	38.75%	5,000,000.00						
R&D expense	THB	0.78%	100,000.00						
Maintenance expense	THB	5.43%	700,000.00	700,000.00	700,000.00	700,000.00	700,000.00	700,000.00	
Total OPEX	THB		5,800,000.00	700,000.00	700,000.00	700,000.00	700,000.00	700,000.00	
Total cost of True-Friend	THB		12,902,000.00	700,000.00	700,000.00	700,000.00	700,000.00	700,000.00	
Total cost	THB		692,466,340.68	41,190,031.61	82,877,642.42	163,517,064.78	320,012,541.06	624,160,777.62	

TrueConnect							
Description	unit	23Q4	24Q1	24Q2	24Q3	24Q4	Total
Total TrueMoney users							
Beginning Monthly active users			1,636,294.00	1,932,557.13	2,282,460.88	2,695,717.30	
(+) new active user	%	18%	296,263.13	349,903.76	413,256.42	488,079.55	1,547,502.85
Ending active users			1,636,294.00	1,932,557.13	2,282,460.88	2,695,717.30	3,183,796.85
The cost for marketing							
For new users							
for 100 Baht/ 1 time	THB	100	28,937,328.70	34,176,646.02	40,364,580.48	47,672,886.22	151,151,441.43
For Active and maintain user							
for 20 Baht/ 3 time	THB	60	95,894,439.07	113,256,836.29	133,762,823.90	157,981,572.19	500,895,671.46
Total discount							652,047,112.88

Income statement		Present	Forecast				
	unit	2023	2024	2025	2026	2027	2028
Revenue	THB	25,853,445.20	128,611,753.96	285,855,540.08	611,630,974.08	1,797,686,602.08	3,058,042,124.33
COGS	THB	22,417,227.80	40,490,031.61	82,177,642.42	162,817,064.78	319,312,541.06	623,460,777.62
Gross profit		3,436,217.40	88,121,722.35	203,677,897.66	448,813,909.30	1,478,374,061.02	2,434,581,346.71
Net gross profit margin	%	13.29%	68.52%	71.25%	73.38%	82.24%	79.61%
Operating expenses :	THB	662,947,112.88	700,000.00	700,000.00	700,000.00	700,000.00	700,000.00
Marketing expense		657,047,112.88	-	-	-	-	-
SG&A expense		5,000,000.00	-	-	-	-	-
Maintenance expense		700,000.00	700,000.00	700,000.00	700,000.00	700,000.00	700,000.00
Operating Profit (EBIT)		(659,510,895.48)	87,421,722.35	202,977,897.66	448,113,909.30	1,477,674,061.02	2,433,881,346.71
Net operating margin	%	-2550.96%	67.97%	71.01%	73.27%	82.20%	79.59%
Tax (20%)	THB	(131,902,179.10)	17,484,344.47	40,595,579.53	89,622,781.86	295,534,812.20	486,776,269.34
Net profit		(527,608,716.39)	69,937,377.88	162,382,318.13	358,491,127.44	1,182,139,248.82	1,947,105,077.37
Net progit margin	%	-2041%	54%	57%	59%	66%	64%
CAPEX	THB	7,102,000.00					
Net Cash flow		(534,710,716.39)	69,937,377.88	162,382,318.13	358,491,127.44	1,182,139,248.82	1,947,105,077.37

Financial Impact							
Pay back	year	2.84	(464,773,338.50)	(302,391,020.38)	56,100,107.06	1,238,239,355.88	3,185,344,433.24
CAGR in 5 years	%	130%					
ROI in 5 years	%	36%					

5% increase in retention, 80% increase in profit

The economics of coupon marketing

blog.thanx.com/why-customer-retention-marketing

